

Wage Posting, Bargaining, and Wage-Setting

Labor II — Week 5

Teaching deck draft

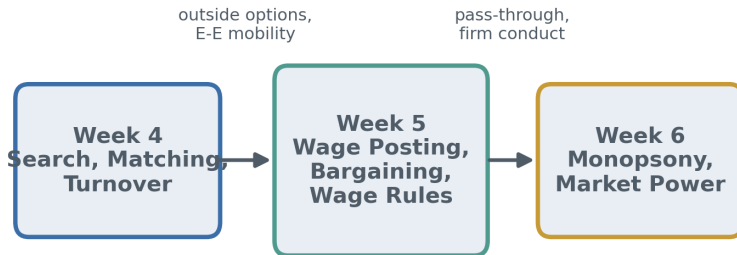
Central question and course repositioning

- Once workers and firms meet in a frictional labor market, how are wages actually set?
- Week 5 is the bridge from Week 4 search and job ladders to Week 6 monopsony and labor market power.
- The core distinction is between wage-setting protocols: posting, bargaining, and standardized or discretionary wage rules.

Week 4 to Week 5 bridge

- Week 4 gave us meetings, vacancies, outside options, unemployment, and E-to-E mobility.
- Week 5 asks how those same objects shape wages inside the match.
- Search theory is incomplete until it specifies how surplus is converted into pay.

Week 5 turns worker flows into wage-setting protocols and empirical wage objects



Why search models need a wage-setting protocol

$$w \geq w^R \quad \Leftrightarrow \quad V^E(w) \geq V^U$$

- Acceptance is not yet a wage-setting protocol.
- The next question is whether the wage is posted, bargained, or constrained by a schedule.
- Frictions make labor supply to the firm finite rather than infinite.

Competitive wages versus frictional wage setting

Regime	Main wage object	Why wages differ
Competitive benchmark	Market wage	Mostly worker or job productivity differences
Posted wage	Offer schedule chosen by firm	Recruiting and retention responses
Bargained wage	Negotiated wage	Surplus division, outside options, threat points
Standardized pay	Rule-based cell	Grades, steps, contracts, internal equity
Discretionary pay	Local managerial choice	Offer competition, retention, within-firm flexibility

Wage posting and the logic of wage dispersion

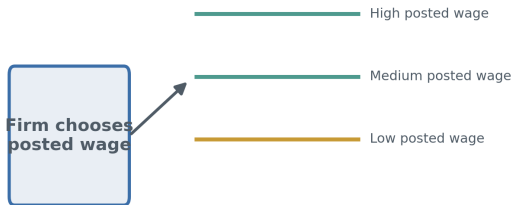
$$\max_w \pi(w) = (p - w) \ell(w)$$

- The firm chooses a wage anticipating how staffing responds.
- Burdett–Mortensen links employed search to wage dispersion and job ladders.
- The wage distribution is not automatically a productivity distribution.

Posted wages versus individualized bargaining

Posted wages

Recruiting and retention respond to the posted schedule



Worker mobility sorts matches across the wage ladder

Individualized bargaining

Wage depends on the protocol used to split surplus



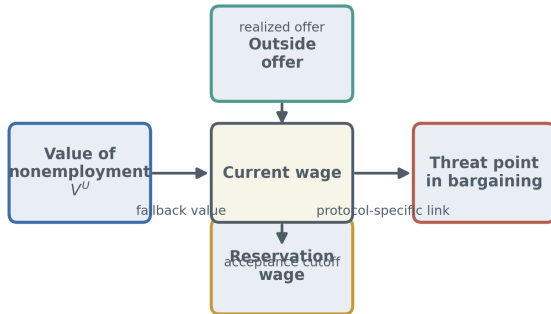
Bargaining, outside options, and Hall–Milgrom

$$w^* = \arg \max_w [V^E(w) - V^U]^\beta [J(w) - V]^{1-\beta}$$

- Bargaining treats the wage as a bilateral surplus-splitting outcome.
- Outside options are not the same thing as threat points.
- Hall–Milgrom: if disagreement means delay rather than exit, unemployment may matter less for wages.

Reservation wages, outside offers, threat points, and fallback values

Week 5 separates fallback values, realized outside offers, and bargaining threat points



Wages and the value of nonemployment

$$\Delta \log w_{it} = \rho \Delta \log V_{it}^U + \varepsilon_{it}$$

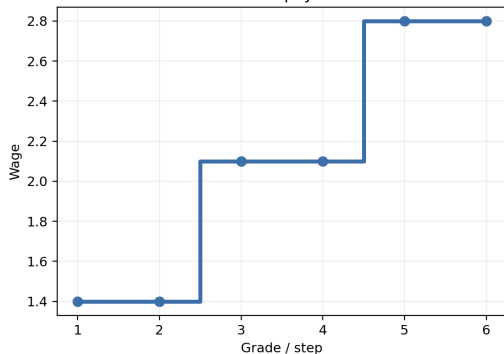
- A realized outside offer is not the same object as the value of nonemployment.
- Jaeger, Schoefer, Young, and Zweimüller ask how fallback values pass through to wages.
- This is distinct from pass-through from firm productivity or firm revenue shocks.

Standardized versus discretionary pay-setting inside firms

Standardization compresses pay; discretion leaves more room for bargaining and managerial choice

Compression within grade,
transparent progression

Standardized pay schedule



Discretionary pay setting



Empirical designs and what they identify

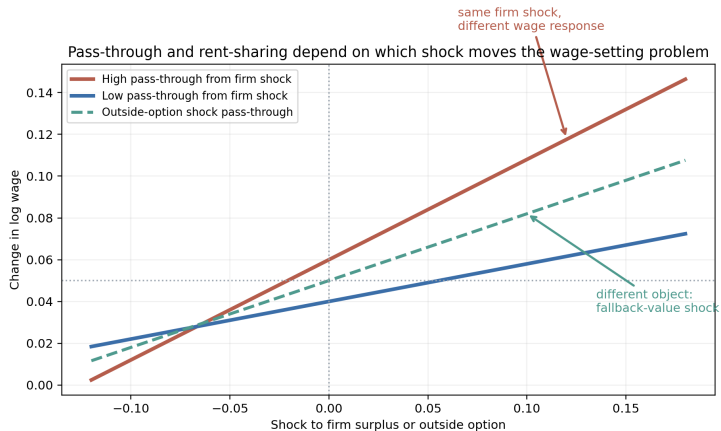
Design	Variation	Margin	Main latent object
Dual jobholders	Wage shock in other job	Wage vs separation response	Full offer set
Pay-rule reforms	Schedule or flexibility change	Compression, mobility, sorting	Nonwage job bundle
Nonemployment shocks	Fallback-value change	Wage pass-through	Expected search environment
Firm shocks	Value added or revenue change	Rent-sharing, premia	Sorting and match quality
Wage-rule microdata	Standardization vs discretion	Within-cell dispersion	Informal discretion

Rent-sharing, pass-through, and the bridge to market power

$$\Delta \log w_{ijt} = \theta \Delta \log VA_{jt} + \alpha_i + \psi_j + \varepsilon_{ijt}$$

- Pass-through from firm shocks is a different object from pass-through from fallback-value shocks.
- Firm wage premia, worker sorting, and match-specific rents are not the same thing.
- Week 6 will ask how the labor-supply elasticity to the firm shapes these wage-setting outcomes.

Pass-through and rent-sharing schematic



- Bargaining and within-firm inequality.
- Worker beliefs about outside options and firm-specific pay.
- Pay transparency, salary-history bans, and offer disclosure.
- Algorithmic pay-setting and remote hiring.
- Collective wage-setting as an alternative protocol rather than a later afterthought.

Bridge to Week 6 monopsony

- Week 5 asks how wages are set once workers and firms meet.
- Week 6 asks how much wage-setting power firms have when labor supply to the firm is elastic but not infinite.
- Posting and bargaining are protocols; monopsony is the conduct environment in which those protocols operate.

- Search models need an explicit wage-setting protocol.
- Posted wages, bargaining, and standardized or discretionary pay rules generate different empirical signatures.
- Reservation wages, outside offers, fallback values, and threat points must be kept separate.
- Rent-sharing evidence is informative, but it is not the whole structural wage-setting model.

Appendix: optional lab bridge

- Reproduce: dual-jobholder test in the spirit of Lachowska, Mas, Saggio, and Woodbury.
- Diagnose: is the paper testing posting, bargaining, or a wage-rule change?
- Transfer: public salary schedules or synthetic offer-and-separation panels.
- Extension: compare standardized and discretionary pay in teacher labor markets.